Practice workbook · Deregulation: meaning, advantages and disadvantages

Removing rules on markets and its effects on competition, costs, jobs and the environment.

8 question parts: 1 worked-example retry and 7 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-T21-31

1. Question 2 · part g · 9 marks

2020 NOV · Paper 02 (regional R)

Worked-example retry · Attempt part g only.

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2 In 2018, the Indonesian rupiah depreciated to its lowest levels since 1997 against other major currencies.

(a) This depreciation is likely to have caused

(1)

- ☒ **A** an increase in exports and a decrease in imports
- ☒ **B** a decrease in exports and a decrease in imports
- ☒ **C** an increase in exports and an increase in imports
- ☒ **D** a decrease in exports and an increase in imports

(b) Which of the following is used as a measure of economic growth?

(1)

- ☒ **A** ILO
- ☒ **B** CPI
- ☒ **C** GDP
- ☒ **D** FDI

(c) State **one** reason why a government wants to reduce poverty and inequality.

(1)

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(d) What is meant by the term infrastructure?

(2)

P 6 2 6 4 2 R A 0 7 2 0

7

Turn over ▶

1. Question 2 · part g · 9 marks

2020 NOV · Paper 02 (regional R)

Worked-example retry · Attempt part g only.

In 2018 the average number of job seekers in Germany decreased by 0.5% to 5.2% and was lower than at any time since 1991.

(e) Explain **one** impact of falling unemployment rates on tax revenue for a country such as Germany.

(3)

In December 2018, consumers in the UK were warned to avoid some imported plastic toys because they contained banned chemicals. Many were being sold through online marketplaces.

(f) Explain **one** reason why UK consumers need protecting from some imported goods.

(3)

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1. Question 2 · part g · 9 marks

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Worked-example retry · Attempt part g only.

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In May 2018, South Korea's unemployment rate for people aged 15–29 increased to 11.6%. In several global competitiveness reports South Korea has recently been criticised for having too many rules and regulations. Experts have advised the South Korean Government to reduce some employment regulations for service sectors such as finance, transport and tourism in order to create more jobs.

(g) With reference to the data above and your knowledge of economics, assess the effectiveness of deregulation in reducing unemployment in South Korea.

(9)

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P 6 2 6 4 2 R A 0 9 2 0

9

Turn over ▶

1. Question 2 · part g · 9 marks

2020 NOV · Paper 02 (regional R)

Worked-example retry · Attempt part g only.



1. Question 2 · part g · 9 marks · Working and answer

Working and answer

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2. Question 2 · part b · 1 mark

2020 NOV · Paper 02

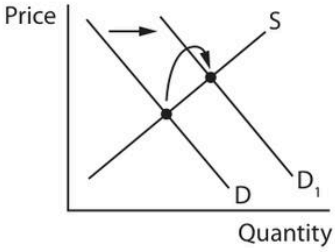
Further practice · Attempt part b only.

2 In 2019, India introduced tariffs against US agricultural products including apples, almonds and lentils.

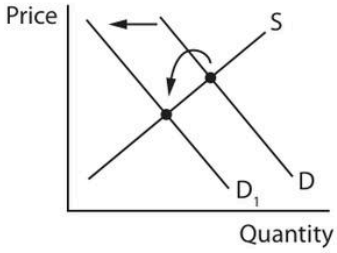
(a) Which **one** of the following diagrams shows the Indian market for apples, almonds and lentils following the introduction of the tariffs?

(1)

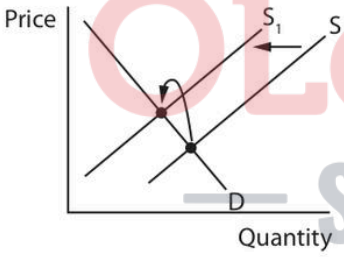
☒ **A**



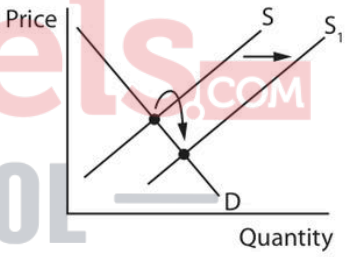
☒ **B**



☒ **C**



☒ **D**



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2. Question 2 · part b · 1 mark

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Further practice · Attempt part b only.

(b) Which supply-side policy involves the removal of government controls?

(1)

- ☒ **A** Deregulation
- ☒ **B** Education and training
- ☒ **C** Lower business taxes
- ☒ **D** Infrastructure spending

(c) State **one** disadvantage of free trade.

(1)

(d) What is meant by the term exchange rate?

(2)

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2. Question 2 · part b · 1 mark · Working and answer

Working and answer

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3. Question 2 · part e · 3 marks

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Further practice · Attempt part e only.

2 (a) Which **one** of the following means having more of one thing but less of another thing?

(1)

- ☒ **A** Menu costs
- ☒ **B** Trade-off
- ☒ **C** Opportunity cost
- ☒ **D** Trading bloc

(b) Which **one** of the following is a role of a central bank?

(1)

- ☒ **A** Investing in firms
- ☒ **B** Raising taxes
- ☒ **C** Asset purchasing
- ☒ **D** Lending money to individuals

(c) State **one** type of inflation.

(1)

(d) What is meant by the term fiscal surplus?

(2)

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3. Question 2 · part e · 3 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

Indonesia is one of the largest exporters of coal in the world. In 2020, the Indonesian Government started to deregulate the mining industry by removing some environmental controls.

(e) Explain **one** disadvantage of deregulation for a country such as Indonesia.

(3)

(f) Using the diagram below label the remaining three stages of the economic cycle in the boxes on the diagram.

(3)

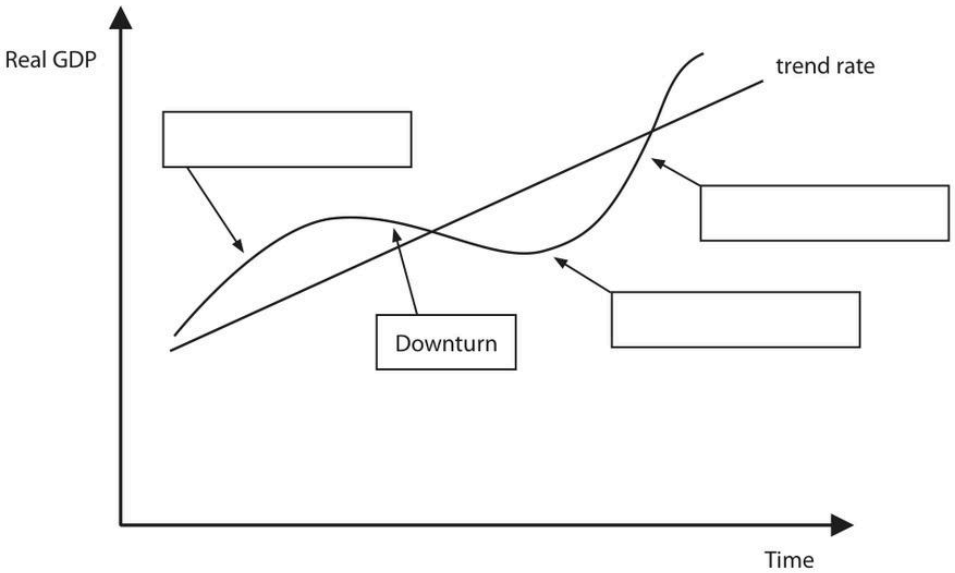


Figure 2

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3. Question 2 · part e · 3 marks · Working and answer

Working and answer

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4. Question 3 · part a · 1 mark

2022 JUN · Paper 02

Further practice · Attempt part a only.

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3 (a) Which **one** of the following is an example of deregulation?

(1)

- ☒ **A** Introducing a national minimum wage rate
- ☒ **B** More health and safety laws
- ☒ **C** Introducing licences for firms to operate
- ☒ **D** More firms allowed to enter a market

(b) Which **one** of the following is likely to cause cost-push inflation?

(1)

- ☒ **A** An improvement in productivity
- ☒ **B** An improvement in weather conditions
- ☒ **C** An increase in wage rates
- ☒ **D** An increase in the consumption of goods

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4. Question 3 · part a · 1 mark · Working and answer

Working and answer

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5. Question 1 · part c · 2 marks

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part c only.

1 (a) What does the International Labour Organisation (ILO) measure?

(1)

- ☒ **A** Economic growth
- ☒ **B** Unemployment
- ☒ **C** Government spending
- ☒ **D** Inflation

(b) Which **one** of the following is considered to be a progressive tax in the UK?

(1)

- ☒ **A** Income tax
- ☒ **B** Value added tax (VAT)
- ☒ **C** Excise duties
- ☒ **D** Import tariff

(c) What is meant by the term deregulation?

(2)

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5. Question 1 · part c · 2 marks

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part c only.

(d) Describe **one** negative impact of economic growth.

(2)

(e) Calculate the **price in euros (€)** of a UK manufactured car priced at £15 000 when the exchange rate is £1 = €1.10. You are advised to show your working.

(2)

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5. Question 1 · part c · 2 marks · Working and answer

Working and answer

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6. Question 1 · part g · 3 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part g only.

1 (a) Which **one** of the following is a disadvantage of multinational corporations (MNCs) operating in a country?

(1)

- ☒ **A** Developing capital
- ☒ **B** Investing in infrastructure
- ☒ **C** Creating jobs
- ☒ **D** Environmental damage

(b) Which **one** of the following describes voluntary unemployment?

(1)

- ☒ **A** Unemployment caused by a lack of demand for a particular skill
- ☒ **B** Unemployment caused by changes in the business cycle
- ☒ **C** Unemployment caused by individuals choosing not to work
- ☒ **D** Unemployment caused by seasonal fluctuations in the demand for labour

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(c) What is meant by the term monetary policy?

(2)

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6. Question 1 · part g · 3 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part g only.

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(d) Describe **one** advantage of privatisation for a government.

(2)

Figure 1 shows selected UK Government receipts from taxation in February 2023.

	£bn
Income tax	20.0
Sales tax (VAT/GST)	14.3
Business taxes	7.6
Excise duties	3.7
Customs duties	0.4

Figure 1

(e) Calculate the **total amount of revenue** in £bn raised by indirect taxes in February 2023. You are advised to show your working.

(2)

6. Question 1 · part g · 3 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part g only.

In March 2023, the Government of Ghana announced it was removing fuel subsidies on petroleum.

(f) Using the diagram below, draw the effects of the removal of the fuel subsidy on the equilibrium price and quantity of petroleum in Ghana. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

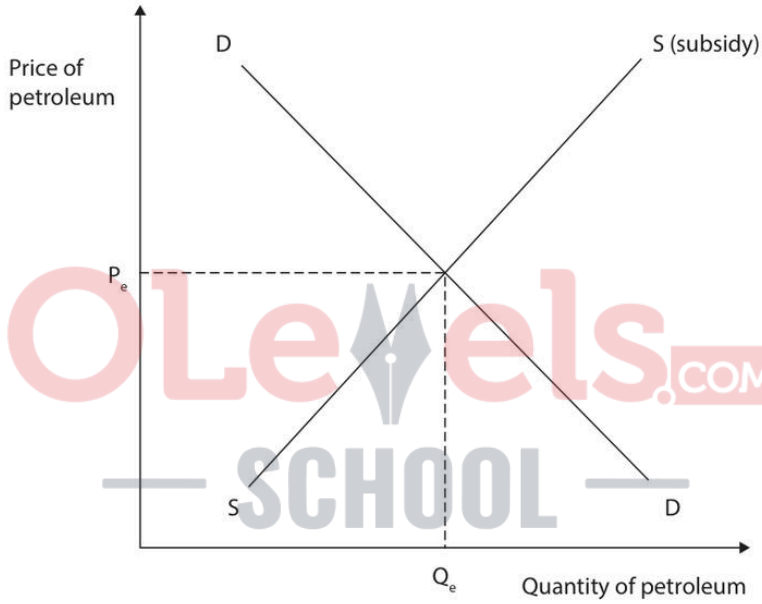


Figure 2

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P 7 2 9 7 0 R A 0 4 2 4

6. Question 1 · part g · 3 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part g only.

In September 2022, the Indian Government deregulated the telecommunications sector. This included reducing the taxes and fees that telecom companies had to pay to the government and allowing more firms to enter the market.

(g) Explain **one** advantage of deregulation for a country such as India.

(3)

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6. Question 1 · part g · 3 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part g only.

In March 2023, the UK joined the Comprehensive and Progressive Agreement for Trans-Pacific Partnership (CPTPP), an 11-member Asia-Pacific trading bloc, after two years of negotiations. The current members of the CPTPP are Australia, Canada, Japan, Mexico, New Zealand, Singapore, Brunei, Chile, Malaysia, Peru and Vietnam.

(h) With reference to the data above and your knowledge of economics, analyse the advantages for UK firms of the UK joining the CPTPP trading bloc.

(6)

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P 7 2 9 7 0 R A 0 6 2 4

6. Question 1 · part g · 3 marks · Working and answer

Working and answer

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7. Question 2 · part b · 1 mark

2025 JUN · Paper 02

Further practice · Attempt part b only.

2 (a) Which **one** of the following is a government policy that changes the rate of interest?

(1)

- ☒ **A** Fiscal
- ☒ **B** Supply-side
- ☒ **C** Monetary
- ☒ **D** Exchange rate

(b) Which **one** of the following is an example of deregulation?

(1)

- ☒ **A** Introducing a limit on government salaries
- ☒ **B** Allowing more foreign firms into the domestic market
- ☒ **C** Introducing compulsory employee training requirements
- ☒ **D** Increasing consumer protection laws

(c) State **one** possible advantage of foreign direct investment (FDI) for an economy.

(1)

(d) What is meant by the term indirect tax?

(2)

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7. Question 2 · part b · 1 mark · Working and answer

Working and answer

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8. Question 1 · part h · 6 marks

2025 NOV · Paper 02

Further practice · Attempt part h only.

1 (a) Which **one** of the following best defines deflation?

(1)

- ☒ **A** A continuous rise in the general price level of goods and services
- ☒ **B** A situation where the economy grows rapidly
- ☒ **C** A decrease in the general price level of goods and services over time
- ☒ **D** A period of very low economic activity and high unemployment

(b) Which **one** of the following is an example of a supply-side policy?

(1)

- ☒ **A** Investing in education and training
- ☒ **B** Asset purchasing by a central bank
- ☒ **C** Increasing taxes on high-income earners
- ☒ **D** Increasing the interest rate

(c) What is meant by the term demand-pull inflation?

(2)

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8. Question 1 · part h · 6 marks

2025 NOV · Paper 02

Further practice · Attempt part h only.

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(d) Describe **one** advantage of privatisation for a consumer.

(2)

A country has a labour force of 4.3 million with 550,000 people unemployed.

(e) Calculate, to **two** decimal places, the country's **percentage rate of unemployment**. You are advised to show your working.

(2)

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8. Question 1 · part h · 6 marks

2025 NOV · Paper 02

Further practice · Attempt part h only.

Figure 1 shows the supply of and demand for UK pounds (£) and the equilibrium exchange rate against the euro (€).

(f) Using the diagram below, draw the likely effect of an increase in imports from Europe on the equilibrium exchange rate of the UK pound (£) against the euro (€). Label the new curve, the new equilibrium exchange rate and the new equilibrium quantity.

(3)

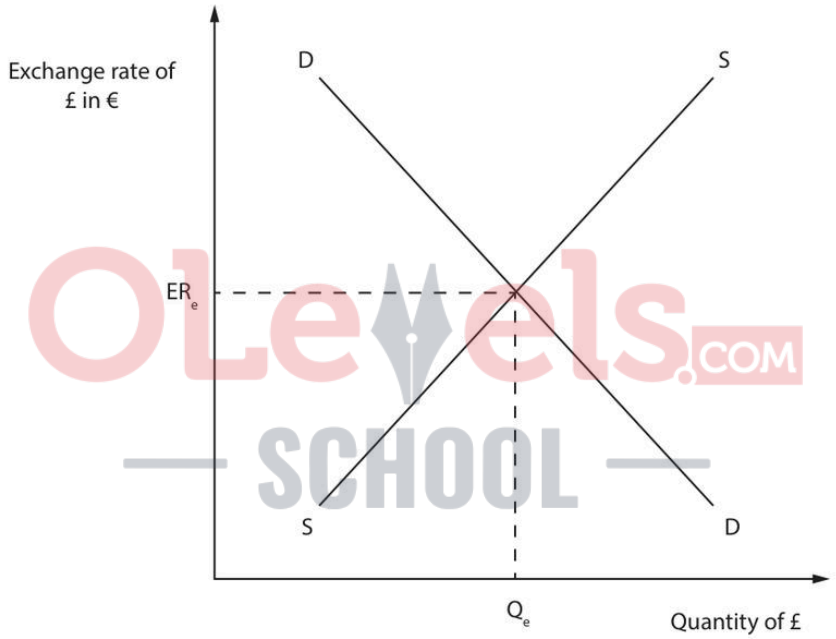


Figure 1

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P 7 8 9 6 3 A 0 4 2 8

8. Question 1 · part h · 6 marks

2025 NOV · Paper 02

Further practice · Attempt part h only.

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In March 2024, after 15 years of negotiations, India announced a free trade agreement with four European countries: Switzerland, Iceland, Norway and Liechtenstein. The free trade agreement is expected to create one million jobs over the coming years.

(g) Explain **one** advantage of free trade for a business in a country such as Iceland.

(3)

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8. Question 1 · part h · 6 marks

2025 NOV · Paper 02

Further practice · Attempt part h only.

The South Korean Government is to introduce deregulation to boost the growth of industries, such as artificial intelligence (AI) and biotechnology. The country will create a regulation-free zone where firms can develop technologies without any barriers.

(h) With reference to the data above and your knowledge of economics, analyse the advantages of deregulation for a country such as South Korea.

(6)

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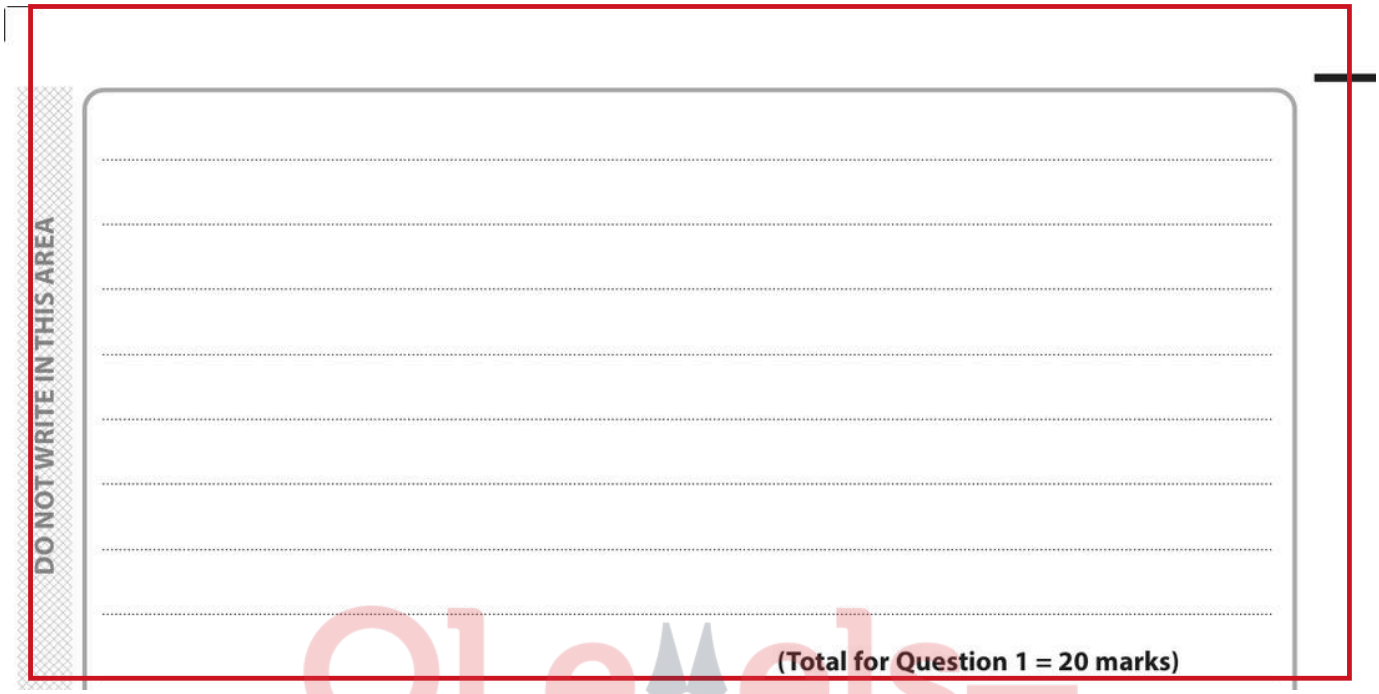
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P 7 8 9 6 3 A 0 6 2 8

8. Question 1 · part h · 6 marks

2025 NOV · Paper 02

Further practice · Attempt part h only.



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8. Question 1 · part h · 6 marks · Working and answer

Working and answer

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